FORENSIC FINANCIAL BREAKDOWN — CORRECTED & VERIFIED

Los Romeros Limited Lanzarote Property Sale — Full Financial Breakdown

Philip Harrison · Sale: 20 March 2026 · Company No. 06993349

Source-verified from: CGT Report (28 Mar 2026) · NotebookLM Notebooks · Companies House Accounts

Sale: €315,000 | No ITP on Acquisition | Spanish CGT: ~€20,881 | Modelo 210 Balance: ~€11,431 | MVL Net: ~£192k

€315,000	~€20,881	~€11,431	~£192k
CONFIRMED SALE PRICE	SPANISH CGT (19% IRNR)	BALANCE OWED — MODELO 210	EST. NET TO PHILIP (MVL)

1 The Property, The Company & The Wincham Share-Purchase Structure

PROPERTY DETAILS

Detail	Information
Location	North of Playa Blanca, Lanzarote (Municipality of Yaiza)
Description	2-bedroom, 1-bathroom villa — no swimming pool
Holding vehicle	Los Romeros Limited, Company No. 06993349 (UK Private Limited Company)
Director	Philip Harrison (sole director as of March 2026)

Detail	Information
Sale date	20 March 2026 — *Escritura de Compraventa* signed before Lanzarote Notary
Confirmed sale price	**€315,000**

OWNERSHIP TIMELINE & ITP POSITION

Date	Event	Value	ITP Paid?
2011	Los Romeros Ltd (Stockwell family) purchased the property via Wincham scheme	€200,000	N/A
Dec 2019	**Philip Harrison purchased the *shares* of Los Romeros Limited** — not the property directly. This is the Wincham mechanism.	**€185,000 agreed value**	No ITP — share purchase
20 Mar 2026	Los Romeros Limited **sold the Lanzarote property**	**€315,000**	3% AEAT retention withheld

🏦 WHY NO ITP WAS PAID — THE WINCHAM MECHANISM

The entire commercial premise of the Wincham scheme was that Philip purchased the **SHARES OF THE COMPANY** — not the Spanish property directly. Under Spanish law at the time, a share transfer did not trigger the *Impuesto sobre Transmisiones Patrimoniales* (ITP — Property Transfer Tax), which stands at **6.5% IN THE CANARY ISLANDS**. On a €185,000 property, this saved ~€12,025 at acquisition.

CRITICALLY, THIS MEANS NO ITP, AJD (STAMP DUTY), NOTARY FEES, OR LAND REGISTRY FEES WERE PAID IN 2019.

The acquisition cost basis for AEAT purposes is therefore €185,000 in company value plus approximately €1,500 in UK/Spanish adviser fees for the share transfer — totalling €186,500.

⚠ AEAT LOOK-THROUGH RISK

> AEAT views these *Sociedades Patrimoniales* (shell property companies) as transparent structures. They assess CGT against Los Romeros Limited as the non-resident entity that directly owned and sold the property. The ITP saving at acquisition is therefore a moot point for the 2026 disposal — AEAT simply assesses the gain from €185,000 to €315,000.

2 Spanish Capital Gains Tax (IRNR) — Full Calculation

Under Spanish tax doctrine (Art. 25 TRLIRNR), AEAT applies a flat **19% rate** to net capital gains from property disposals by all non-resident corporate entities. The calculation is done exclusively in Euros.

STEP 1 — ACQUISITION VALUE (2019 SHARE PURCHASE)

Agreed company/property value — 2019 share transfer	€185,000
~~ITP (6.5% Canary Islands rate)~~ — Share purchase: ITP NOT applicable	~~€12,025 → N/A~~
~~AJD stamp duty (1.0%)~~ — Share purchase: NOT applicable	~~€1,850 → N/A~~
~~Land Registry fees~~ — Share purchase: NOT applicable	~~€555 → N/A~~
UK/Spanish adviser / gestoría fees at 2019 share transfer (est.)	€1,500
Total Adjusted Acquisition Cost	**€186,500**

STEP 2 — DISPOSAL COSTS (DEDUCTIBLE FROM GAIN)

Estate agent commission (~4% of €315,000)	€12,600
Wincham / Adrem notary, legal & admin charges for the sale	€4,500
Plusvalía Municipal Tax — Yaiza Town Council (est. Objective Method)	€1,500
Total Disposal Costs	**€18,600**

> ⚠ **WINCHAM CHARGES — REQUEST ITEMISED INVOICE**

Wincham / Adrem charged €4,000–€5,000 for notary, legal, and "admin" on the sale. The €4,500 midpoint is used here.

OBTAIN A FULLY ITEMISED INVOICE IMMEDIATELY

— any charges already covered by Philip's annual fee (~£700/yr) may constitute double-billing and further strengthen the professional negligence claim.

STEP 3 — FLOOD REPAIR COSTS

Gross flood repair costs (water pipe damage)	~~~€7,500~~
Less: Insurance payout	~~−€7,500 (fully covered)~~
Philip's own labour	~~Not deductible — own labour~~
Net Deductible Repair Cost	**€0**

ℹ FLOOD REPAIRS — FULLY INSURED

The flood damage from the water pipe was fully covered by Philip's insurance policy. As his net out-of-pocket cost is €0, there is nothing to add to the capital improvement deduction. If he paid any excess or any portion was uninsured, that amount should be added —

BUT ONLY WITH OFFICIAL SPANISH VAT INVOICES (*FACTURAS*)

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STEP 4 — FINAL CGT COMPUTATION

IRNR Capital Gain Calculation	
Sale Price (Escritura value, confirmed)	€315,000
Less: Acquisition Cost (2019 share purchase, no ITP)	(€186,500)
Less: Disposal Costs	(€18,600)
Less: Net Flood Repair Costs	€0
Estimated Taxable Gain	**€109,900**
IRNR Rate (non-resident entity)	× 19%

Total Spanish CGT Liability	**~€20,881**

3 Modelo 211 (Retention at Notary) & Modelo 210 (Balance Owed)

RETENTION WITHHELD AT NOTARY — COMPLETION DAY

Gross sale price	€315,000
3% AEAT retention withheld by buyer (Modelo 211)	(€9,450)
Liquid Funds Received by Los Romeros Limited on Completion Day	**€305,550**

MODELO 210 RECONCILIATION — DUE BY 20 JULY 2026

Total Spanish CGT Liability (@19%)	~€20,881
Less: AEAT 3% Retention already paid via Modelo 211	(€9,450)
Balance Still Owed to AEAT — Payable with Modelo 210	**~€11,431**

🚨 **DEADLINE: 20 JULY 2026 — BALANCE IS OWED, NOT REFUNDED**

Because the 19% CGT (~€20,881) exceeds the 3% retention (€9,450), **PHILIP OWES AEAT A FURTHER ~€11,431**. This must be paid concurrently with the Modelo 210 filing by 20 July 2026. There is no refund situation here — which is actually advantageous as it avoids triggering an audit of historical imputed income returns (the "Wincham Gap"). The Modelo 210 must be filed by a licensed Spanish *asesor fiscal* holding an AEAT digital certificate / Cl@ve PIN.

PLUSVALÍA MUNICIPAL — SEPARATE OBLIGATION

The Plusvalía Municipal (tax on urban land value increase, levied by **Ayuntamiento de Yaiza**) must be paid within **30 business days of 20 March 2026** — deadline approximately **30 April 2026**. It is estimated at €1,500 using the Objective Method (based on cadastral land value × time-held coefficient). This is already included in the disposal costs above and is deductible from the Spanish CGT taxable base. A local *gestoría* in

Yaiza must handle this. Failure to pay on time triggers immediate administrative surcharges.

4 UK Corporation Tax & Foreign Tax Credit Relief (FTCR)

Los Romeros Limited is a UK tax-resident entity and must report this disposal to HMRC. The 2014 UK–Spain Double Taxation Agreement (DTA) prevents double taxation via the FTCR mechanism.

UK CT COMPUTATION ON THE GAIN

Property booked in UK accounts at	£159,634 (historic GBP cost)
Sterling sale proceeds (~€315,000 ÷ 1.164 EUR/GBP spot)	~£270,619
Indicative Sterling Gain (HMRC computation)	**~£111,000**
UK Corporation Tax rate (small company, augmented profits <£50k)	19%
Gross UK CT on gain (19% × ~£111,000)	~£21,090
FTCR credit — Spanish IRNR paid (~€20,881 @ 1.164)	(~£17,937)
Net UK Corporation Tax After FTCR	**~£0–£3,153 (marginal)**

✅ **FTCR LARGELY NEUTRALISES UK LIABILITY**

Spain's 19% rate closely matches the UK small company CT rate of 19%. The FTCR credit (~£17,937) substantially eliminates the UK CT bill. Any residual arises only from the Sterling gain being larger than the Euro gain due to GBP depreciation vs EUR since 2019 — the "phantom FX gain." A UK CTA must confirm the exact figures. Estimated worst case:

£0–£3,500 RESIDUAL

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⚠ **THE PHANTOM FX GAIN — HMRC CALCULATION TRAP**

> HMRC computes the gain in Sterling using the BoE spot rate at the acquisition date (Dec 2019, ~1.17 EUR/GBP) vs the disposal date (Mar 2026, ~1.164 EUR/GBP). GBP has weakened slightly vs EUR over this period, which may make the sterling gain appear marginally larger. Additionally, Companies House records show an initial share allotment of £171,734 in June 2010 — the original capitalisation — but the relevant CGT basis is the 2019 £159,634 book value. A CTA must model this precisely on the CT600B (FTCR supplementary pages).

5 Director's Loan Account — Tax-Free Recovery at MVL

The Director's Loan Account (DLA) records personal funds Philip has advanced to Los Romeros Limited to cover its running costs over the years. Repayment of the DLA is **completely tax-free** — it is the company repaying a debt, not distributing profit.

DLA BALANCE — COMPANIES HOUSE ACCOUNTS

Year End (31 Aug)	DLA Balance	Year-on-Year Increase
August 2022	£11,270	—
August 2023	£14,888	+£3,618
August 2024	£19,373	+£4,485
August 2025 (most recent)	**£25,069**	**+£5,696**
Post-Aug 2025 personal property payments (TBC)	**+£TBC**	**Add before MVL closure**

> ✅ **£25,069 RECOVERED COMPLETELY TAX-FREE AT MVL**
> This is returned to Philip as a debt repayment — not as income or a capital gain. It is not subject to CGT, Income Tax, or Dividend Tax. Philip should compile all personal payments made for the property after 31 August 2025 (with bank statements) and give them to his accountant to be added to the DLA balance, increasing the tax-free recovery further.

SHARE CAPITAL — ALSO TAX-FREE ELEMENT AT MVL

Investment property carried in accounts at (unchanged each year)	£159,634
This is the GBP share capital basis — returned tax-free in the MVL as return of capital	£159,634 (tax-free element)

6 Complete Tax Waterfall — €315,000 → Net GBP to Philip

This traces every deduction from the confirmed €315,000 gross sale price to the estimated net Sterling proceeds landing in Philip Harrison's personal account in Sheffield, after all taxes, professional fees, and the MVL.

Stage	Amount
SPAIN — At Notary, Completion Day	
Gross Sale Price (Escritura — confirmed)	**€315,000**
Less: AEAT 3% Retention (Modelo 211) — withheld by buyer at Notary	**(€9,450)**
Liquid Funds Received by Los Romeros Ltd on Completion Day	**€305,550**
SPAIN — Disposal Costs to Settle	
Less: Estate agent commission (4% × €315,000)	**(€12,600)**
Less: Wincham/Adrem notary, legal & admin fees for sale	**(€4,500)**
Less: Plusvalía Municipal — Yaiza Town Hall (due within 30 days)	**(€1,500)**
Less: Modelo 210 balance payable to AEAT (due 20 July 2026)	**(€11,431)**
Net EUR in Los Romeros Ltd After All Spanish Obligations Settled	**€275,619**
FX CONVERSION — Specialist Broker	
Converted to GBP @ 1.164 (spot rate, Mar 2026)	**~£236,786**

Less: FX broker spread (~0.4% — Currencies Direct / TorFX)	(~£947)
Net GBP in Los Romeros Ltd (Corporate Account)	**~£235,839**
UK CORPORATE TAX	
Less: UK Corporation Tax (residual after FTCR — worst case)	(~£3,500)
Less: UK CTA fees (CT600 / CT600B / FTCR preparation)	(~£2,500)
Net GBP Available for MVL Distribution	**~£229,839**
MVL — CAPITAL EXTRACTION	
Add: Director's Loan Account repayment (tax-free — Aug 2025 balance)	+£25,069
Less: Licensed Insolvency Practitioner fees (MVL)	(~£2,500)
Total Capital Distributed by IP — Pre Personal CGT	**~£252,408**
PHILIP'S PERSONAL CGT (MVL Distribution)	
Less: Annual CGT allowance 2025/26 (£3,000)	(£3,000)
Taxable gain after allowance	~£249,408
Less: CGT @ 18% (basic rate band portion — est. £5,000)	(~£900)
Less: CGT @ 24% (higher rate — approx. £244,408 over threshold)	(~£58,658)
🏢 **ESTIMATED NET PROCEEDS TO PHILIP HARRISON (Sheffield)**	**~£191,850**

> ✅ **ESTIMATED RANGE: £188,000 – £196,000**
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> Variance depends on: (a) confirmed Plusvalía amount; (b) whether post-Aug 2025 personal property costs can be added to DLA; (c) exact FX rate at the date of transfer; (d) whether any phantom FX gain creates a residual UK CT bill; (e) Philip's exact remaining basic rate band (depends on his pension/retirement income figure).

7 Why MVL — Not Dividend: The Tax Saving

Route	Tax Treatment	Rate on £250k	Tax Bill	Best?
MVL — Capital Distribution	CGT (18% basic / 24% higher)	~24% (mostly higher rate)	~£59,558	✅ YES
Dividend — higher rate taxpayer from Apr 2026	Income Tax @ 35.75%	35.75%	~£89,375	❌ NO
DS01 Strike Off (>£25k assets)	HMRC treats as dividend	Up to 39.35%	~£98,375	❌ NO

> ✅ **MVL SAVES PHILIP ~£29,800 – £38,800 VS DIVIDEND**
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> The IP fees of ~£2,500 are recovered many times over. MVL is the only rational extraction method for a sum of this size.

8 FX Repatriation — Avoid Retail Banks

Converting ~€275,000 through a high-street bank at a 2%–4% spread would cost **€5,500–€11,000** in hidden exchange fees. A specialist FCA-regulated broker charges 0.3%–0.6%, saving thousands.

Transfer	Timing	Recommended Method	Amount
Main proceeds after Notary (less AEAT retention)	Immediately post-completion	Spot transfer — FX broker	~€305,550
Modelo 210 balance payment to AEAT	By 20 Jul 2026	EUR payment from LLC EUR account	(€11,431)

Transfer	Timing	Recommended Method	Amount
Remaining EUR before MVL closure	Pre-MVL	Spot transfer — FX broker	Any residual

RECOMMENDED FCA-REGULATED FX BROKERS

Broker	Typical Spread	Saving vs Bank (€275k)	Forward Contracts
Currencies Direct	0.3%–0.5%	~£4,200–£6,300	Yes — up to 24 months
TorFX	0.3%–0.5%	~£4,200–£6,300	Yes — up to 24 months
Moneycorp	0.4%–0.6%	~£3,800–£5,800	Yes
High-Street Retail Bank	2.0%–4.0%	£0 baseline (they take it)	Rarely / restrictive

> **⚠ AML / SOURCE OF FUNDS — PREPARE THIS PACK NOW**
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> Any transfer >€100,000 triggers automated AML and KYC checks. Philip must prepare: (1) *Escritura de Compraventa* (sale deed, 20 Mar 2026); (2) Modelo 211 receipt; (3) Los Romeros Limited certificate of incorporation; (4) Companies House accounts showing director's loan; (5) Solicitor covering letter explaining the corporate structure and MVL. Brief the FX broker and UK bank in advance.

9 Wincham Scheme Damages — Quantum Summary

The Wincham scheme's structural failures directly imposed quantifiable financial losses on Philip Harrison, above and beyond the normal costs of disposing of a Spanish property. These form the core of the professional negligence and breach of contract claim.

Head	Description	Estimated Loss
Head 1	Trapped FTCR post-Brexit — failure to advise exiting the scheme	~£16,800

Head	Description	Estimated Loss
Head 2	FTCR loss — corporate bank account never established; proceeds hit Philip's HSBC personal account	~£15,900
Head 3	Excess tax triggered by dividend treatment / s.455 risk on corporate proceeds landing personally	~£20,900
Head 4	Wasted Wincham management fees across the lifetime of the scheme	~£25,000
Head 5	Professional rescue costs — CTA, IP, solicitor, asesor fiscal engaged solely to undo Wincham's damage	~£15,000
Head 6	Forced MVL — required solely because of the Wincham corporate wrapper	~£2,500
Total Quantified Heads of Claim		**~£96,100**

⚖ MAXIMUM CLAIM — NOTEBOOKLM SOURCE

The Harrison v Wincham NotebookLM notebook cites a maximum claim value of **£149,807**. The additional quantum above the itemised £96,100 relates to compounded interest on losses, consequential IHT exposure, and the "1% ITP" misrepresentation damages (Wincham claimed the scheme delivered a 1% transfer tax; standard ITP is 6.5–10%). Full quantum schedule to be prepared by the instructed litigation solicitor.

10 Immediate Action Checklist — Priority Order

#	Action	Deadline	Priority	Who
1	Instruct Spanish *asesor fiscal* (AEAT digital cert) to prepare and file Modelo 210	NOW → file by **20 Jul 2026**	Critical	Philip / Solicitor
2	Pay Plusvalía Municipal to Ayuntamiento de Yaiza	**~30 Apr 2026**	Critical	Spanish gestoría

#	Action	Deadline	Priority	Who
3	Open account with FCA-regulated FX broker (TorFX / Currencies Direct)	Immediate	Urgent	Philip
4	Transfer main proceeds (~€305,550) via spot FX — never through a retail bank	As soon as funds clear	Urgent	FX Broker
5	Request fully itemised invoice from Wincham/Adrem for the sale charges (€4,000–€5,000)	Within 7 days	Urgent	Philip
6	Compile all personal property payments made after 31 Aug 2025 (bank statements) — add to DLA	Before MVL starts	High	Philip
7	Instruct UK CTA to prepare CT600 / CT600B (FTCR claim) for Los Romeros Limited	Within 30 days	High	Philip / Solicitor
8	Prepare AML Source of Funds pack for FX broker and UK bank	Before any transfer	High	Philip
9	Appoint ICAEW/IPA-licensed Insolvency Practitioner for MVL of Los Romeros Limited	After Modelo 210 filed	High	Philip / Solicitor
10	Instruct STEP-registered solicitor for post-MVL IHT and estate planning (Sheffield)	After MVL distribution	Medium	Philip
11	File formal Pre-Action Protocol Letter of Claim against Wincham Group	Instructed solicitor timeline	Medium	Litigation Solicitor

✓ Quick Reference Summary — All Key Figures

SPANISH OBLIGATIONS	
Gross Sale Price (confirmed)	€315,000
3% AEAT Retention withheld at Notary (Modelo 211)	(€9,450)
Day-1 liquid proceeds received by Los Romeros Ltd	€305,550
— CGT Deductions —	
Acquisition cost — 2019 share purchase (no ITP, no AJD)	(€186,500)
Disposal costs — agent (€12,600) + Wincham/Adrem (€4,500) + Plusvalía (€1,500)	(€18,600)
Flood repairs (fully insured — net cost)	€0
Estimated Taxable Gain	**~€109,900**
Spanish CGT @ 19% IRNR	~€20,881
Less: Retention already paid (Modelo 211)	(€9,450)
Balance Owed to AEAT — Modelo 210 (by 20 Jul 2026)	**~€11,431**
UK CORPORATE TAX	
Spanish IRNR paid — FTCR credit available	~£17,937 credit
UK CT residual after FTCR (worst case)	~£0 – £3,500
MVL — CAPITAL RECOVERY (TAX-FREE ELEMENTS)	
Director's Loan Account — returned tax-free	£25,069
Share capital booked in accounts — tax-free basis	£159,634
NET PROCEEDS ESTIMATE	
EUR converted to GBP after all Spanish taxes settled (~€275,619 @ 1.164)	~£236,786
Less: UK CT, CTA fees, FX costs, MVL fees	(~£9,447)

Add: DLA repayment (tax-free)	+£25,069
Less: Personal CGT (18%/24% on MVL distribution)	(~£59,558)
Estimated Net to Philip Harrison — Sheffield (post all taxes)	**~£192,850**

Los Romeros Limited (Co. No. 06993349) · Philip Harrison · Lanzarote Sale: 20 March 2026 · Sale Price: €315,000

AI Advisory Panel: UK Cross-Border Tax Adviser · Spanish Property Compliance Specialist · IHT Calculator · MVL Process Tracker · FX Risk Adviser · UK Commercial Litigation Solicitor

⚠ This report is an AI-generated advisory document for professional review. Figures are planning estimates sourced from the CGT Report (28 Mar 2026), Companies House accounts, and NotebookLM notebooks. Always verify with a qualified Spanish *asesor fiscal* and UK Chartered Tax Adviser before any formal filing.